

CFA Trading Framework

Capital Finplus Academy

Structured Approach to Indian Markets

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15+ Years in Indian Financial Markets

For enrolled students only — not for redistribution

Introduction

Most traders fail not because they lack indicators or strategies, but because they lack structure. The CFA Trading Framework was built over 15 years of active participation in Indian equity and derivatives markets, distilling what actually works into a repeatable, disciplined process.

This framework is not a "buy here, sell there" signal system. It is a complete methodology for reading the market, building a structured trade thesis, and executing with defined risk — every single time.

Three Core Principles

Market Structure First

Before any indicator or setup, understand what the market is doing structurally. Trend, range, or reversal — the structure defines your bias.

Process over Prediction

No one predicts the market consistently. What separates profitable traders is a repeatable process that manages outcomes across many trades.

Risk Management is Non-Negotiable

Protecting capital is the first job of every trade. Entries are secondary to exits. Every trade has a defined invalidation level before it is placed.

Module 1 — ESSENTIALS

Understanding What Drives Price

What Drives Price Movement

Price in any market is driven by supply and demand imbalances. Understanding where buyers and sellers have historically stepped in gives you a structural edge that no indicator can replicate. The market leaves footprints — your job is to read them.

Market Structure Basics

Market structure is described by swing highs and swing lows. The four key states:

- Higher Highs (HH) + Higher Lows (HL) → Uptrend — buyers in control
- Lower Lows (LL) + Lower Highs (LH) → Downtrend — sellers in control
- Equal swing highs and lows → Range / consolidation
- Break of structure (BoS) → Potential trend change — highest probability zone

Why a Structured System Beats Discretion

Discretionary trading without a system means your psychology is the only filter. Markets are designed to trigger emotional responses — FOMO at tops, panic at bottoms. A structured system removes emotion from individual decisions by pre-defining every rule.

- Consistency comes from repeating the same correct process, not from being right every trade
- Backtesting your system against historical data builds conviction — and reveals its real edge
- A system with a 45% win rate and 2:1 reward-to-risk is vastly more profitable than a 70% win rate with 1:2 RR

Module 2 — EDGE

The CFA Trading System

Chart Setup Guide

Use a clean chart. The recommended setup for the CFA system:

- Timeframes: 15-min for execution, 1-hour for context, Daily for bias
- No lagging indicators on the primary chart — price action only
- Horizontal S/R levels from swing highs and lows (daily TF minimum)
- Volume profile on the weekly chart to identify high-value areas

Timeframe Alignment

The highest-probability setups occur when the trade direction is aligned across all three timeframes. A bullish structure on the Daily, a pullback on the 1H to a support zone, and a bullish trigger candle on the 15M — this is the CFA three-timeframe confluence model.

Entry / Stop-Loss / Target Methodology

- Entry: After a confirmed structural trigger (e.g., engulfing candle above a broken level) on the 15M
- Stop-Loss: Placed below the last swing low (long) or above the last swing high (short), plus a small buffer for spread
- Target: Minimum 1.5× the stop-loss distance; close 50% at 1:1 and trail the rest

Backtesting Introduction

Before trading any setup live, backtest it manually across at least 50 historical instances. Log each trade: entry, SL, target, outcome, and why you took it. This builds both the statistical edge and the pattern recognition that comes with screen time.

Module 3 — PRECISION

Options Premium & Advanced Execution

Why Premium Charts Matter for Option Buyers

Most option buyers focus only on the underlying's chart and ignore the option premium chart. This is a critical mistake. The premium chart shows you whether you're paying fair value or overpaying due to elevated IV, and it reveals real support/resistance levels specific to the option you're buying.

- Trade the premium chart, not just the spot chart — structure applies equally
- Buying options when IV Rank > 70 means you're overpaying; wait for IV compression
- Premium support/resistance levels tend to hold more cleanly than spot levels for intraday setups

Strike Selection

Strike selection is determined by three factors: delta, premium level, and market structure. For directional trades, use ATM or one-strike OTM. For swing trades, go one more strike OTM to manage cost. Never buy deep OTM options hoping for a moonshot — they require exceptional timing and are statistically unprofitable.

Timing with Market Structure

- Enter options only after structural confirmation on the underlying — not before
- Avoid entering options within 30 minutes of market open (high volatility, wide spreads)
- Premium expansion typically follows a break of structure — time your entry for the re-test, not the initial break

Position Sizing

Never risk more than 2% of total trading capital on a single option position. Calculate position size as: $(\text{Capital} \times 2\%) \div (\text{Entry Premium} \times \text{Lot Size})$. For most retail traders starting out, one lot with a hard stop on the premium is the correct size.

Risk Management

The 2% Rule

Risk no more than 2% of your total trading capital on any single trade. This ensures that even a streak of 10 consecutive losing trades only draws down your account by ~18%, leaving you fully capable of recovering without changing position size.

Drawdown Limits

- Daily loss limit: 3% of total capital. If hit, stop trading for the day — no exceptions
- Weekly drawdown limit: 6%. If hit, reduce position size by 50% for the following week
- Monthly drawdown limit: 10%. If hit, take a full week off and review your trade journal

The Trade Journal

Every serious trader keeps a journal. Not just trade logs — but observations about your mental state, why you took each trade, and what you would do differently. Review your journal every Sunday. Look for patterns in your mistakes, not just your wins.

Psychology Checklist

- Am I trading within my pre-defined plan, or am I improvising?
- Has this setup appeared in my backtest with positive expectancy?
- Am I risking more because I want to recover recent losses? (Revenge trading — stop immediately)
- Have I slept well, eaten, and am I in a calm mental state?
- Is my stop-loss placed before I enter, with the exact size already calculated?

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